



First-Quarter 2024 Results

April 30, 2024

TRANE
TECHNOLOGIES

Forward-Looking Statements

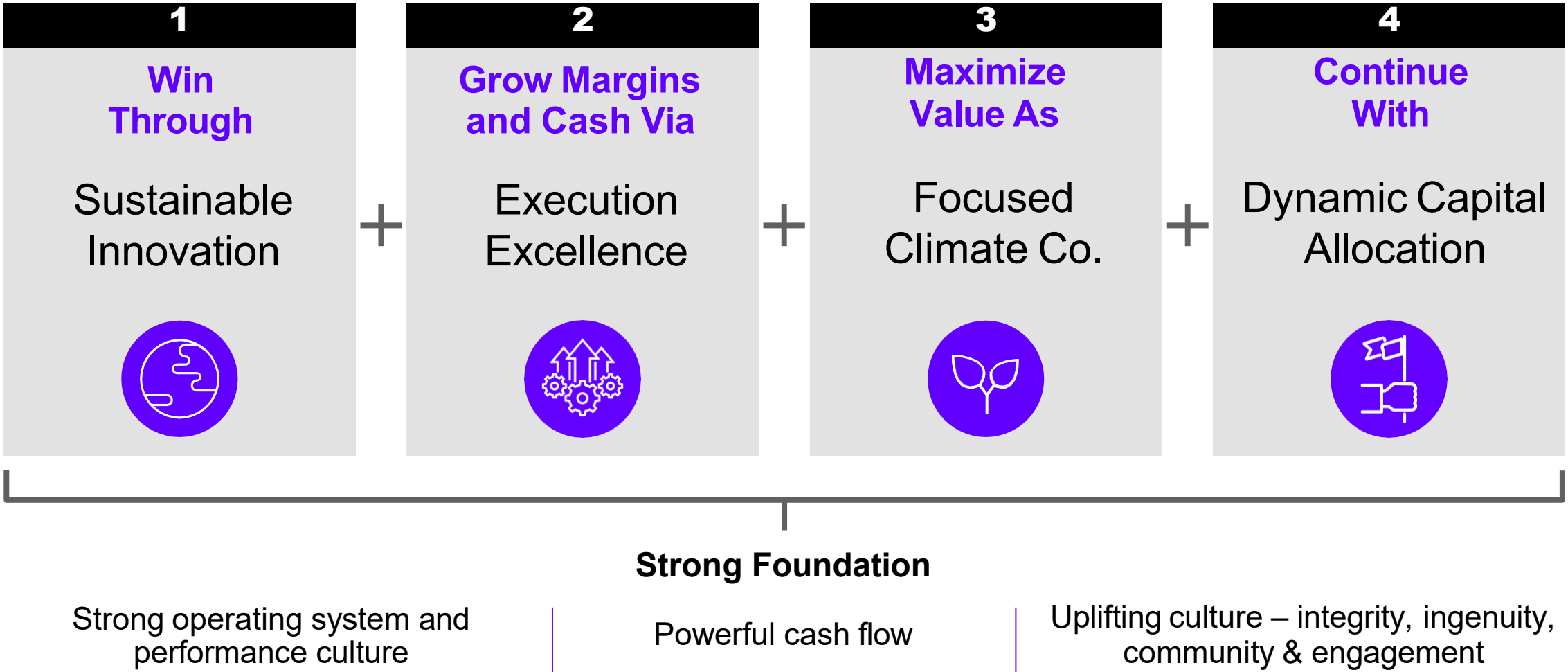
This news release includes “forward-looking” statements within the meaning of securities laws, which are statements that are not historical facts, including statements that relate to our future financial performance and targets, including revenue, EPS, operating income, operation margin and earnings; our business operations; demand for our products and services, including bookings and backlog; capital deployment, including the amount and timing of our dividends, our share repurchase program, and our capital allocation strategy, including M&A activities and investments, if any; our projected free cash flow and usage of such cash; our available liquidity; our anticipated revenue growth, including growth in organic revenue; performance of the markets in which we operate; our foreign exchange rate outlook, our credit rating; our productivity and cost savings initiatives; our ESG and other sustainability initiatives and our effective tax rate.

These forward-looking statements are based on our current expectations and are subject to risks and uncertainties, which may cause actual results to differ materially from our current expectations. Such factors include, but are not limited to, global economic conditions, including recessions and economic downturns, inflation, volatility in interest rates and foreign exchange; changing energy prices; worldwide geopolitical conflict; financial institution disruptions; climate change and our sustainability strategies and goals; future health care emergencies on our business, our suppliers and our customers; commodity shortages; price increases; government regulation; restructurings activity and cost savings associated with such activity; secular trends toward decarbonization, energy efficiency and internal air quality, the outcome of any litigation, including the risks and uncertainties associated with the Chapter 11 proceedings for our deconsolidated subsidiaries Aldrich Pump LLC and Murray Boiler LLC; cybersecurity risks; and tax audits and tax law changes and interpretations.

Additional factors that could cause such differences can be found in our Form 10-K for the year ended December 31, 2023, as well as our subsequent reports on Form 10-Q and other SEC filings. New risks and uncertainties arise from time to time, and it is impossible for us to predict these events and how they may affect the Company. We assume no obligation to update these forward-looking statements.

This news release also includes non-GAAP financial information, which should be considered supplemental to, not a substitute for, or superior to, the financial measure calculated in accordance with GAAP. The definitions of our non-GAAP financial information are included as an appendix in our presentation and reconciliations can be found in our earnings releases for the relevant periods located on our website at www.tranetechnologies.com. Unless otherwise indicated, all data beyond the first quarter of 2024 are estimates.

Focused Strategy Delivers Differentiated Shareholder Returns



Continued Strong Execution / Financial Performance. Raising 2024 Guidance. Well Positioned for Growth in 2024 with Standout Bookings & Backlog

- **Continued strong execution across diversified and resilient global portfolio**
 - Organic revenues* up 14%; adj. operating margins* up 230 basis points; adj. EPS* up 38%
 - Bookings of > \$5B, up 17% YOY organic. Strong growth in all segments
 - Strong organic leverage across enterprise; accelerating investments in key innovation and growth programs across portfolio
- **Bookings / backlog remain strong, led by longer cycle commercial HVAC businesses globally**
 - Global CHVAC bookings up 20+%, led by Americas CHVAC up 30% YOY. Strength in applied solutions as project complexity in top growth verticals plays to TT's strengths
 - Strong and growing CHVAC project pipeline globally; leveraging power of direct salesforce, deep customer relationships and leading innovation
 - Accelerating investments in 2024 – e.g., product innovation, sales and service excellence, capacity, digital & automation initiatives, bolstering future growth
- **Well positioned for continued growth in 2024 and 2025**
 - Q1 ending backlog of \$7.7B, up 10% from \$6.9B Y/E 2023. Added ~\$800M to CHVAC backlog for 2025 and beyond (\$1.8B total), strengthening future visibility
- **Continued execution of balanced capital allocation strategy. Financial position, liquidity and balance sheet bolster resilience and optionality**
 - Strong Q1 capital deployment including dividends and share repurchases
 - Strong Q1 cashflow; on track to deliver free cash flow = / > 100% of adj. net earnings*
- **Raising 2024 revenue and EPS guidance**
 - Expect organic revenue growth of 8% to 9%, or 8.5% midpoint, up from 6% to 7% prior guidance
 - Expect adj. EPS of \$10.40 to \$10.50 (+15% to +16%), or \$10.45 midpoint, up from \$10.00 to \$10.30 prior guidance (see p.17 for more detail)
 - Executing our high-performance flywheel - strong business reinvestment, market outgrowth, robust earnings and FCF to deliver differentiated financial performance & leading shareholder returns over the long term

*Includes certain Non-GAAP financial measures. See the company's Q1 2024 earnings release for additional details and reconciliations

Broad-Based Strength in Bookings & Revs with ~120% Book-to-Bill in all Regions on 14% Rev Growth. Backlog of \$7.7B Increases Visibility for 2024 & Beyond

	Q1 Organic* Y-O-Y Change	
	Bookings	Revenue
Enterprise	+ 17%	+ 14%
Americas	+ 20%	+ 15%
Commercial HVAC	+	+
Residential HVAC	-	+
Transport	-	-
EMEA	+ 7%	+ 4%
Commercial HVAC	+	+
Transport	-	-
Asia Pacific	+ 6%	+ 16%
Commercial HVAC	+	+
Transport	+	+

Americas

- CHVAC strong across the board: bookings +30% (3-yr stack + >60%). Revs +mid-twenties, book-to-bill 125%+. Strong revs growth in equip, up 35%+, and services +mid-teens
- Resi bookings down LSD. Revs +LSD
- Transport bookings down LSD. Revs down mid-teens as expected. 1H'23 ~+20% / 2H'23 down ~20% drives softer 1H, stronger 2H dynamic & consistent w/ guide
- Book-to-Bill ~120%

EMEA

- Strong CHVAC bookings +low-teens. Revs +HSD w/ 2 yr-stack revs + >30%
- Transport bookings and revs down LSD as expected & consistent w/ guide
- Book-to-Bill ~120%

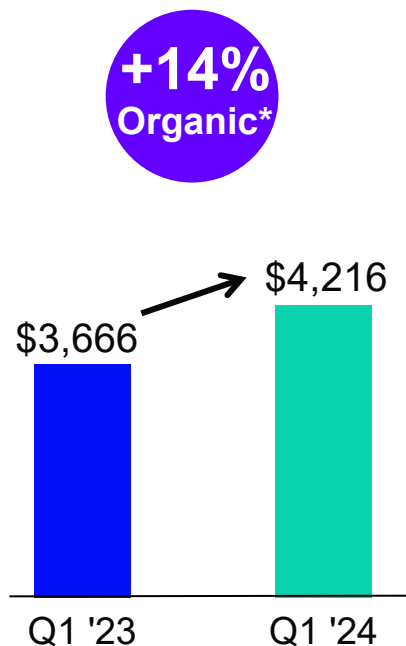
Asia Pacific

- Asia bookings +MSD. Revs +mid-teens
- CHVAC bookings +LSD vs +high-teens 1Q'23 comp. Revs +mid-teens
- China bookings + >20%. Revs +high-teens
- Book-to-Bill ~120%

*Organic bookings and organic revenues exclude acquisitions and currency

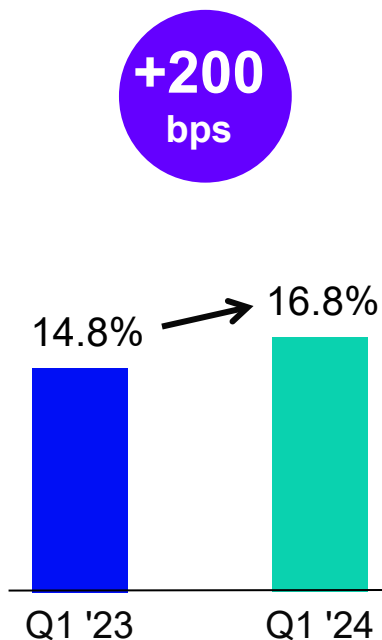
Performance Scoreboard: Robust Revenue Growth, Margin Expansion and EPS Growth

Net Revenue



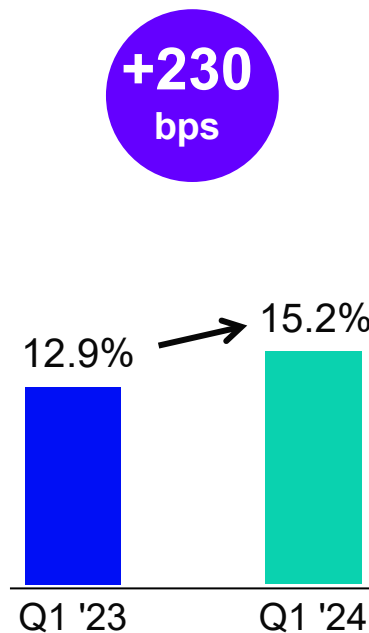
- Strong organic revenue growth
- Equipment revs up low-teens, with exceptional CHVAC growth more than offsetting TK normalization
- Continued strong services growth up low-teens, growth in all regions

Adj. EBITDA Margin*

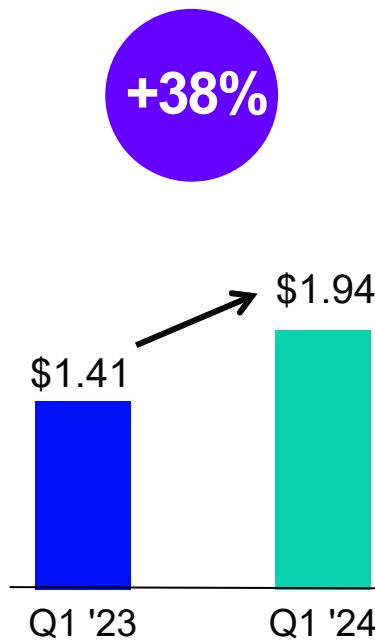


- Strong volume growth, positive price realization and productivity more than offset inflation
- Strong enterprise organic leverage of ~36%, reported leverage ~5 points lower primarily related to lower contribution from year one acquisitions

Adj. Operating Margin*



Adj. Continuing EPS*



- Strong execution of company's business operating system driving operational excellence throughout P&L

*Includes certain Non-GAAP financial measures. See the company's Q1 2024 earnings release for additional details and reconciliations.

Strong Revenue Growth and Broad-Based Margin Expansion

\$M	Revenue Org.* Growth	Adj. EBITDA*% vs PY	Adj. OI*% vs PY	Highlights
Americas	\$3,335 +15%	18.1% +220 bps	16.4% +240 bps	- Strong broad-based operating margin expansion - Strong volume growth, positive price realization and productivity more than offset inflation - EMEA OI margin impacted by lower incremental contribution from year one acquisitions - EMEA EBITDA margin impacted by FX losses from Egyptian currency devaluation. Excluding FX impact, EMEA EBITDA margins ~19.5% - High incremental business reinvestment in each segment supporting sustainability strategy, innovation and growth initiatives, people and culture
EMEA	\$553 +4%	18.0%** -50 bps	17.3% +30 bps	
Asia Pacific	\$327 +16%	21.6% +220 bps	20.3% +310 bps	

* Includes certain Non-GAAP financial measures. See the company's Q1 2024 earnings release for additional details and reconciliations.

** Includes negative impact of foreign exchange losses.

Market Outlook Largely Unchanged w/ Q1 Americas CHVAC and Resi Stronger than Anticipated; No Change to Outlook for Other Segments / BUs

Americas	Commercial HVAC – Q1 stronger as reflected in outlook • Strong, broad-based growth driving robust backlog; bookings growth in majority of verticals. Data center / education / healthcare / high-tech industrial all remain strong • Leading systems & services portfolio, direct salesforce, best-in-class execution through BOS; customers’ partner of choice for decarb, energy efficiency/healthy spaces Residential HVAC – Q1 stronger, 2024 too early to call • Q1 stronger than expected on EPA extension of R410a sell-thru/pre-season inventory growth. Cautiously optimistic w/ Q1 modest % of FY & cooling season on deck Transport – no change • No change to FY outlook – ACT continues to project modest 2024 downturn w/ weighted avg mkt down 10%; expect TK to outperform • Expect softer 1H / stronger 2H dynamic based on lumpy 2023 comps; 1H’23 ~+20% / 2H’23 ~ down 20%. Q1 performance as expected • NA trailer - ACT projects snap back to strong growth in 2025 (+19%)
EMEA	Commercial HVAC - no change • Continued strong demand for innovative, sustainability-focused products and services; accelerating demand for next-gen Thermal Management Systems • Strong decarbonization trends continue led by compelling customer paybacks. Ongoing regulatory and policy tailwinds across the region additive tailwinds Transport - no change • Weighted average mkt forecast down LSD in 2024. TK to outperform end markets through innovation-led, diversified, resilient portfolio
Asia Pacific	China – no change • Continued strong performance and positive outlook despite dynamic environment; focused strategy continues to outperform macro; strength in data center, electronics, pharma, healthcare...strong verticals for TT Rest of Asia – no change • Mixed outlook with pockets of strength in data center, fab plants, EV battery
Stacking Effect of Policy and Regulatory Changes Provide Additional Support to Strong Underlying Fundamentals Across Our Businesses Including: <i>IRA; Education stimulus (ESSER); CHIPS and Science ACT; SEER / refrigerant changes; 2030 EU Climate and Energy Framework</i>	

Raising FY'24 Revs & EPS Guide on Strong Q1 Performance,
Robust CHVAC Outlook, Heavy Business Reinvestment

	Prior FY Guidance	Updated FY Guidance*
Organic Revenues	+6% to +7% +7% to +8% reported, incl. M&A	+8% to +9% +8% to +9% reported incl. 1pt M&A & minus 1pt FX Q2'24 expect ~+8.5% organic growth
Adj. EPS	\$10.00 to \$10.30 +11% to +14%	\$10.40 to \$10.50 +15% to 16% Q2'24 expect ~\$3.05
Operating Leverage	Organic 25%+ Strong core leverage, positive price/cost for FY	Organic 25%+ Strong core leverage, positive price/cost for FY M&A = minus ~5pts reported vs organic leverage
Free Cash Flow	≥ Adj. Net Earnings	≥ Adj. Net Earnings

*See pg. 17 for additional details



Strong FCF Drives Continued Balanced Capital Deployment Strategy

1

Invest for Growth

- Strengthen the core business and extend product & market leadership
- Invest in new technology and innovation
- Strategic investments in value-accretive M&A

2

Maintain Healthy, Efficient Balance Sheet

- Expect to deliver FCF* $\geq$ 100% of adjusted net earnings
- Strengthening balance sheet
- Strong A3**/BBB+ investment grade rating offers optionality as markets evolve

3

Return Capital to Shareholders

- Expect to consistently deploy 100% of excess cash over time
- Pay competitive dividend and grow dividend at or above rate of earnings growth over time
- Repurchase shares with excess cash when intrinsic value provides high returns

* Includes certain Non-GAAP financial measures. See the company's Q1 2024 earnings release for additional details and reconciliations

** April 2024 Moody's rating agency upgraded TT from Baa1 to A3

Strong, Balanced Capital Allocation; Expect to Deploy ~\$2.5B in 2024

Balanced Capital Deployment

	Actual YTD Apr 2024	Target FY 2024
Dividends	\$190M	~\$0.8B
M&A, investments	-	~\$1.8B
Share repurchases (inc. Apr '24)	\$350M*	
Total Capital Deployed	~\$540M	~\$2.5B

- Q1 dividends of \$190M; increased dividend 12% in February 2024 to \$3.36 per share annualized, up 58% since the launch of Trane Technologies (Mar 2020)
- YTD April share repurchases of \$350M*; ~\$2.1B remaining authorization
- M&A pipeline remains active; maintain disciplined approach
- Shares remain attractive, trading below our calculated intrinsic value
- Targeting \$2.5B Capital Deployment in 2024

* Excludes Jan 2024 share repurchases of \$81M that were included in FY 2023 total capital deployed



Topics of Interest

No Change to 2024 Weighted Avg Market Forecasts. Continue to Expect TK to Outperform in Each Region

N.A. and EMEA Market Results / Forecast

Actual 2023 Transport
N.A. Market
Trailer / Truck / APU wtd avg
-MSD
(Actual TK -LSD)

2024 Transport N.A.
Market Outlook*
Trailer / Truck / APU wtd avg
-12%

Actual 2023 Transport
EMEA Market**
Trailer / Truck wtd avg
Flat ¹
(Actual TK +LSD)

2024 Transport EMEA
Market Outlook
Trailer / Truck wtd avg
-MSD

Source: ACT / IHS / Company Estimates
¹ 2023 trailer actuals higher than Q4 estimates

Weighted Avg Mkt Forecast / TK Revenue

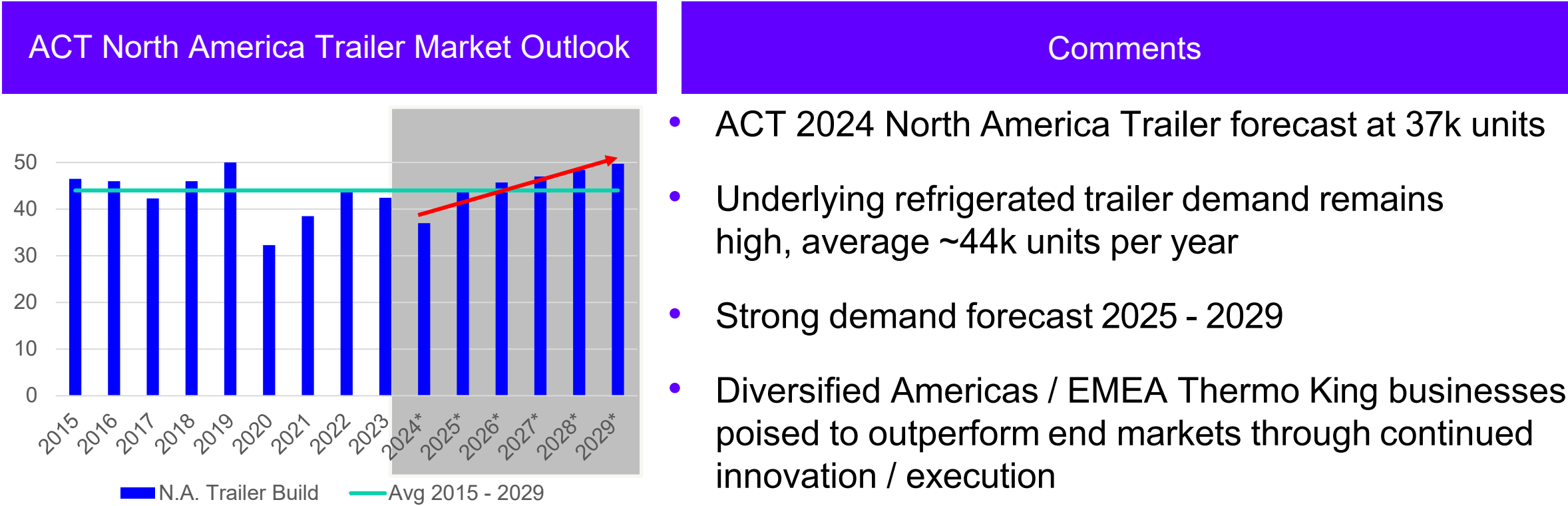
- Americas 2024 Transport weighted average market forecast down -10%
- EMEA 2024 Transport weighted average market forecast down LSD
- Trailer/Truck/APU: ~2/3rds of Total Transport Revenue
- Marine/Bus/Rail/Air/Aftermarket (“all other”): ~1/3rd of Total Transport Revenue
- Global Thermo King is ~15% of enterprise revenues. Americas / EMEA / Asia represent ~60% / ~35% / ~5% of global Thermo King revenues, respectively

Total Transport market weighted avg growth***

2021-2022				2023			3-yr outperformance	
	market	TK	Delta	market	TK	Delta	Delta	
Americas	27%	50% plus	~+25%	-5%	-LSD	+LSD	~+ High Twenties %	
EMEA	4%	high 20s	~+25%	flat	+LSD	+LSD	~+ High Twenties %	

*Includes 2024 N.A. ACT Trailer build Mar fcst
** Reflects removal of Russia from EMEA Mkt Sizing
***Includes Truck/Trailer/APU/Marine/Bus/Rail/Air

ACT Projects North America Refrigerated Trailer Market to Dip in 2024 then Remain Robust 2025 through 2029 (above 40k units)



* Forecast shown in grey
Source: ACT Mar Forecast

IN SUMMARY

Positioned to Outperform Over the Long-Term

Secular Tailwinds

The markets we serve will continue to outgrow GDP, fueled by long-term sustainability megatrends

Sustainability Focused Innovation

We are positioned to outgrow the market and expand margins with market-leading sustainable innovations

Margin Expansion

Our execution excellence and transformational work position us to maximize margins and cash generation

Financial Strength

Our strong balance sheet, exceptional cash generation and balanced capital allocation strategy deliver significant value to shareholders



Appendix

FY'24 Detailed Guidance for Modeling Purposes

Metric	FY Guidance
Organic Revenue	+8% to +9%
M&A	~+1%
FX	~ minus 1%
Reported Revenue	+8% to +9%
Adj. EPS*	\$10.40 to \$10.50 (+15% to 16%)

*Includes certain Non-GAAP financial measures. See the company's Q1 2024 earnings release for additional details and reconciliations.

2024 Commentary

- 25%+ organic leverage for FY'24
- ~1pt M&A = -5 pts of leverage. Year one contribution of negative \$30M OI, primarily related to technology acq, Nuvolo, with accelerated intangibles amortization of ~\$6M/qtr plus year one acquisition and integration related costs. Expect acq. to be EPS accretive by year 3.

Other Items

2Q'24: expect ~+8.5% organic revenue growth, Adj. EPS \$3.05, ~25%+ organic leverage. Expect 1pt M&A offset 1pt FX (~+8.5% reported revenue growth) and ~5pt impact to reported vs organic leverage. Q2 corporate expenses expected to be ~\$85M

Unchanged FY'24 Other Items:

- ~\$237M interest expense
- ~20% adj. effective tax rate
- ~228M diluted shares
- Expect CapEx at high end of 1% to 2% of revenues in 2024
- ~\$30M Non-GAAP headwind to Adj. Earnings from Cont. Ops. (~\$0.10 exc. from adj. EPS*)

Updated FY'24 Other Items:

- ~\$300M corporate costs (~\$275M prior) – Enterprise-wide investments included in increased FY'24 guidance. Powering flywheel with above average incremental high ROI investment (normal range ~40 bps year) including product innovation, sales and service excellence, capacity, digital & automation initiatives
- FY'24 Other income / expense of ~\$40M; includes Q1 activity and pension expense of ~\$5M each remaining quarter. Other items in other inc. / exp. such as FX impacts are unknown / not forecast-able

Trane Technologies Core Sustainability Strategy: Challenge Possible

Global Megatrends



CLIMATE CHANGE



DEMOGRAPHICS



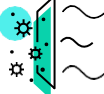
URBANIZATION



DIGITAL CONNECTEDNESS



RESOURCE SCARCITY



INDOOR AIR QUALITY (IAQ)

Our 2030 Commitments

The Gigaton Challenge

Reducing one gigaton of carbon emissions (CO₂e) from our customers' footprint

Leading by Example

Achieving carbon neutral operations, 10% absolute energy reduction, zero waste to landfill and net positive water

Opportunity for All

Creating workforce diversity that mirrors our communities, investing in STEM education

Material Issues to Focus Our Efforts

Operations

Emissions intensity
Renewable energy
Water usage
Heating electrified

Products and Services

Energy efficiency
Low-emission products
Technology & innovation
Emerging market innovations
Product life cycle

Supply Chain

Responsible sourcing
Supplier diversity

Employees

Diversity and inclusion
Ethics and integrity
Safety
Development
Engagement

Communities

Access to cooling
Food and wellness
Education
Workforce development

Governance

Board oversight
Financial performance
Public policy

Targets Align with Global Priorities



2 Zero Hunger



4 Quality Education



5 Gender Equality



6 Clean Water & Sanitation



7 Affordable & Clean Energy



8 Decent Work & Economic Growth



9 Industry, Innovation & Infrastructure



11 Sustainable Cities & Communities



12 Responsible Consumption & Production

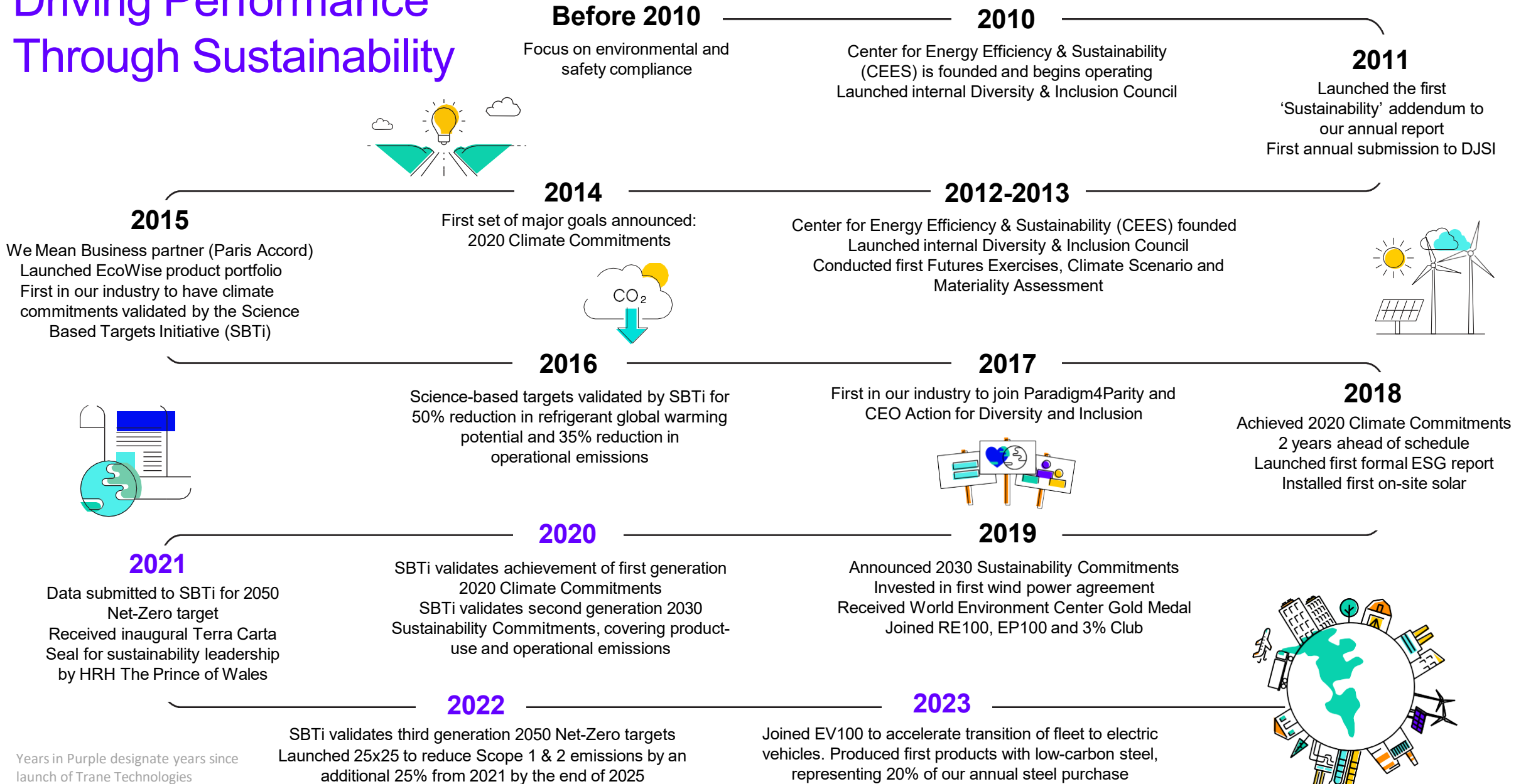


13 Climate Action



We believe in ambitious goals founded in science.
Trane Technologies is 1st in industry to be 2050 Net-Zero Approved by the Science-Based Targets Initiative (SBTi)

Driving Performance Through Sustainability



Years in Purple designate years since launch of Trane Technologies

Widely Recognized for Sustainability, Citizenship, Diversity, Inclusion & Engagement

Highly Regarded ESG Performance



13 Consecutive Years on the North America Index
3rd consecutive year on the World Index



2024 JUST 100:
3rd consecutive year on the JUST 100; Industry Leader for 2nd consecutive year



Named to A List
One of 363 companies currently on the A List*



97th Percentile
74/100; Gold Medal



71% percentile
in the industrial industry



3rd Consecutive Year
Recognized for reducing GHG emissions in our operations



Ethisphere 2024 World's Most Ethical Companies®
First-Time Honoree



Corporate Knights' 2024 Global 100
Ranked 23rd overall, leader in Building Products industry

People and Citizenship



Fortune World's Most Admired Companies
12 consecutive years



Best Workplaces for Women
First appearance on this list, ranked 39th overall



Best Workplaces for Innovators
Also named to Fast Company's World Changing Ideas 2023 list



Recognized in the inaugural edition
Ranks companies according to sustainability, revenue growth and employee satisfaction

*CDP's A List is updated monthly, 363 companies are on the list as of April 10, 2024

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Q1 Organic Revenues up 14% Y-O-Y; Bookings Up 17%

Organic* Revenue	2021					2022					2023					2024
	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>
Americas	+9%	+19%	+4%	+14%	+11%	+13%	+13%	+19%	+14%	+15%	+8%	+9%	+11%	+7%	+9%	+15%
EMEA	+12%	+28%	+8%	+5%	+13%	+6%	+11%	+18%	+23%	+15%	+15%	+8%	+3%	+8%	+8%	+4%
Asia Pacific	+34%	+2%	+1%	+4%	+7%	+14%	-12%	+28%	+19%	+12%	+8%	+41%	-1%	flat	+10%	+16%
Total	+11%	+18%	+4%	+11%	+11%	+12%	+11%	+19%	+16%	+15%	+9%	+11%	+9%	+6%	+9%	+14%

Organic* Bookings	2021					2022					2023					2024
	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>	<u>Q2</u>	<u>Q3</u>	<u>Q4</u>	<u>FY</u>	<u>Q1</u>
Americas	+36%	+29%	+20%	+31%	+29%	+6%	+10%	+11%	flat	+7%	-4%	-8%	+7%	+13%	+2%	+20%
EMEA	+18%	+53%	+25%	+13%	+27%	flat	-12%	-10%	+2%	-5%	+10%	+14%	+12%	+10%	+11%	+7%
Asia Pacific	+14%	+12%	+11%	+18%	+14%	+14%	+16%	+3%	-6%	+7%	+13%	+6%	+12%	+2%	+8%	+6%
Total	+31%	+30%	+20%	+27%	+27%	+6%	+7%	+8%	flat	+5%	-1%	-5%	+8%	+12%	+3%	+17%

*Organic revenues and bookings exclude acquisitions and currency

Q1 Non-GAAP Measures Definitions

Adjusted operating income in 2024 is defined as GAAP operating income adjusted for restructuring costs and legacy legal liability. Adjusted operating income in 2023 is defined as GAAP operating income adjusted for restructuring costs, transformation costs, a non-cash adjustment for contingent consideration and merger and acquisition related costs. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2, 3 and 4 of the news release.

Adjusted operating margin is defined as the ratio of adjusted operating income divided by net revenues.

Adjusted earnings from continuing operations attributable to Trane Technologies plc (Adjusted net earnings) in 2024 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for net of tax impacts of restructuring costs and legacy legal liability. Adjusted net earnings in 2023 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for net of tax impacts of restructuring costs, transformation costs, a non-cash adjustment for contingent consideration and merger and acquisition related costs. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the news release.

Adjusted continuing EPS in 2024 is defined as GAAP continuing EPS adjusted for net of tax impacts of restructuring costs and legacy legal liability. Adjusted continuing EPS in 2023 is defined as GAAP continuing EPS adjusted for net of tax impacts of restructuring costs, transformation costs, a non-cash adjustment for contingent consideration and merger and acquisition related costs. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the news release.

Adjusted EBITDA in 2024 and 2023 is defined as adjusted operating income adjusted for depreciation and amortization expense and other income / (expense), net. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 4 and 5 of the news release.

Adjusted EBITDA margin is defined as the ratio of adjusted EBITDA divided by net revenues.

Q1 Non-GAAP Measures Definitions

Adjusted effective tax rate for 2024 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments for restructuring costs and legacy legal liability divided by adjusted net earnings. Adjusted effective tax rate for 2023 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments for restructuring costs, transformation costs, a non-cash adjustment for contingent consideration and merger and acquisition related costs divided by adjusted net earnings. This measure allows for a direct comparison of the effective tax rate between periods.

Free cash flow in 2024 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, legacy legal liability, and merger and acquisition related costs. Free cash flow in 2023 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, transformation costs and merger and acquisition related costs. Please refer to the free cash flow reconciliation on table 8 of the news release.

- **Free cash flow conversion** is defined as the ratio of free cash flow divided by adjusted net earnings

Operating leverage is defined as the ratio of the change in adjusted operating income for the current period (e.g. Q1 2024) less the prior period (e.g. Q1 2023), divided by the change in net revenues for the current period less the prior period.

Organic revenue is defined as GAAP net revenues adjusted to eliminate currency fluctuations and for the impact of acquisitions.

Organic bookings is defined as reported orders in the current period adjusted to eliminate currency fluctuations and for the impact of acquisitions.

Working capital measures a firm's operating liquidity position and its overall effectiveness in managing the enterprise's current accounts.

- **Working capital** is calculated by adding net accounts and notes receivables and inventories and subtracting total current liabilities that exclude short-term debt, dividend payable and income tax payables.
- **Working capital as a percent of revenue** is calculated by dividing the working capital balance (e.g. as of March 31) by the annualized revenue for the period (e.g. reported revenues for the three months ended March 31 multiplied by 4 to annualize for a full year).